



CAN YOUR BUSINESS AFFORD TO GROW?

A FINANCIAL DECISION FRAMEWORK FOR GROWTH

Carron creates clarity.

A large order, an additional employee, new equipment or a second site can be commercially compelling. The financial issue is not whether growth is desirable in principle; it is whether the business can carry the cash, margin, capacity and timing consequences of the commitment.

COMMIT

Commercial terms
agreed

FUND

Cash and capacity
committed

DELIVER

Costs and operating
effort incurred

COLLECT

Customer cash received

GROWTH DECISION LENS

Test the opportunity before cash, margin or capacity is committed.

CASH GAP

Maximum funding before
collection

MARGIN

Contribution after all
delivery costs

CAPACITY

Can the core business still
perform?

TIMING

Which week is the low
point?

AI can challenge assumptions - management still decides.

AI-assisted review can help challenge the assumptions; it does not replace the numbers or the final management decision.



GROWTH: THE FINANCIAL LANGUAGE

The terms below describe the commercial mechanics that determine whether expansion strengthens the business or absorbs more cash and management capacity than it can carry.

GROWTH FUNDING

Cash required before a new order, employee, asset or site begins to generate meaningful receipts.

WORKING CAPITAL

Cash tied up in stock, unpaid invoices, deposits and work performed before customers pay.

CONTRIBUTION

Sales less the direct costs of delivery. It is the amount available to support fixed costs and profit.

FIXED COST

A recurring commitment that remains payable when sales are delayed or weaker than expected.

CASH LOW POINT

The lowest projected bank balance after the new commitment is included in the forecast.

DOWNSIDE CASE

A realistic scenario in which timing, volume, costs, collections or operating capacity move against the plan.

THE FINANCIAL SEQUENCE

COMMIT	SPEND	DELIVER	COLLECT
Commercial terms	Inputs and setup	Revenue and margin	Cash in bank

The central issue is timing: when cash leaves, when it returns, and how much uncertainty the established business can carry while the new activity is taking shape.

AI-ASSISTED REVIEW

Using AI to organise assumptions, compare scenarios and highlight missing questions. It does not replace the forecast, the bank balance or management judgement.



00 EXECUTIVE VIEW

The financial question behind growth

Growth can be commercially sound and still create a funding requirement. The need is hidden between commitment and receipt, while payroll, suppliers, VAT and recurring costs continue to fall due.

THE DECISION	CASH GAP	CASH LOW POINT	CASH BUFFER
A growth decision should be evaluated on four linked dimensions: commercial value, cash timing, capacity and risk, funding structure.	Maximum cumulative cash required before meaningful collections.	Lowest forecast bank balance after the commitment is included.	Room remaining if collections are later or costs exceed plan.

WHAT THE REVIEW SHOULD ESTABLISH

- Whether customer terms, supplier terms and VAT timing create a material cash gap.
- Whether the margin remains adequate after incremental delivery costs, discounts, finance charges and rework.
- Whether recurring commitments and capacity remain affordable if revenue arrives late.
- Whether the funding source, duration and repayment pattern match the underlying cash cycle.

A forecast does not make the decision for management. It makes the financial consequences visible early enough for the commercial terms, timing or structure to be changed.

AI TOUCHPOINT: ASSUMPTION CHECK

AI can help management challenge whether the growth case is complete: customer terms, supplier timing, margin erosion, capacity constraints and funding exposure. Its output must be checked against the underlying records.

SOUTH AFRICAN CONTEXT - JULY 2026

SARB held the policy rate at 7.0% and Absa listed prime at 10.5%. At the end of December 2025, national and provincial departments reported 90,856 invoices older than 30 days, totalling R15.5 billion. Growth plans should therefore price both the cost of finance and the risk of late receipts.

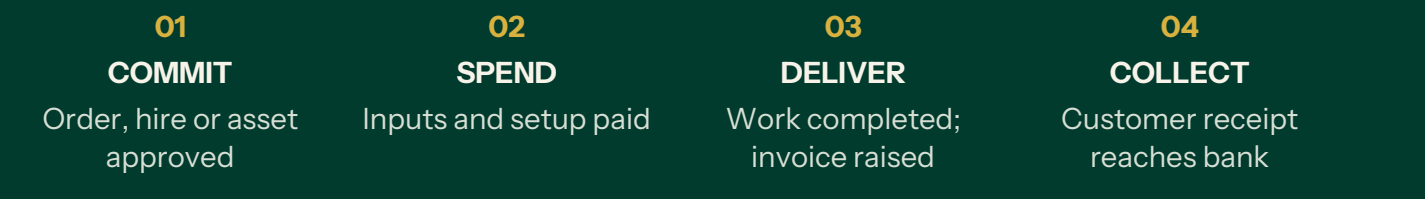
Sources: SARB MPC statement, 23 July 2026; Absa financial indices; National Treasury Q3 2025/26 supplier-payment report.



01 WHERE THE CASH GAP BEGINS

Cash moves on a different timetable

Revenue, profit and cash do not necessarily arise at the same point. The gap matters most where the business funds stock, labour, deposits, VAT or fixed costs before the customer pays.



CUSTOMER TERMS

The invoice value is visible; the funding need is not. It is set by the interval between paying suppliers and labour and collecting from the customer.

FINANCIAL IMPLICATION

The cash gap is often larger than the expected profit for the period before final collection.

RECURRING COMMITMENTS

A salary, lease or subscription starts immediately, while the matching revenue may arrive late or not materialise as planned.

FINANCIAL IMPLICATION

Fixed costs reduce the room available to absorb late receipts, weaker sales or a cost overrun.

WORKED ILLUSTRATION: A PROFITABLE ORDER WITH A CASH REQUIREMENT

Sale value, excluding VAT	R600,000
Deposit received at order	R180,000
Materials, labour and delivery paid before final collection	(R405,000)
Cash movement before final collection	(R225,000)
Expected gross contribution once the final collection arrives	R195,000

The order is profitable, but it requires R225,000 before final collection – before overheads, finance costs and VAT timing. The decision is whether the forecast can carry that low point without breaching the minimum cash reserve.

02 THE SIX FINANCIAL TESTS

Six tests before the commitment

Use these tests for a major order, an additional hire, a new product line, equipment, a stock build or a new site. The purpose is not to eliminate risk; it is to size it before the commitment becomes difficult to reverse.

01 THE TRUE MARGIN

Calculate contribution from the specific opportunity, including materials, freight, overtime, commission, discounts, finance, warranty and rework. Historic margin is a reference, not a substitute.

02 THE CASH CONVERSION CYCLE

Map deposits, supplier terms, payroll, tax dates, milestone billings and final collection by week. Use cash dates, not invoice dates.

03 THE FIXED-COST BURDEN

Separate once-off implementation costs from recurring commitments. The established business carries recurring costs when revenue is late, lower or absent.

04 THE CAPACITY AND CONTROL TEST

Test people, production, systems, quality control and management attention. Growth that weakens delivery to existing customers can destroy margin and cash elsewhere.

05 THE COMBINED DOWNSIDE CASE

Test later collection, lower volume and higher direct cost together. The combined case often exposes a funding gap that each single sensitivity misses.

06 THE FUNDING MATCH

Match purpose, duration and repayment pattern to the underlying cash cycle. A short collection gap and a long-life asset require different funding structures.

AI CAN HELP EACH TEST

AI can list omitted costs, compare assumptions and prepare questions. It cannot supply missing records, approve a funding structure or carry management responsibility.



03 MANAGING UNCERTAINTY

A sound plan can withstand a change in assumptions

Growth plans rarely fail because every original assumption was wrong. They become difficult when collection, cost, volume or capacity move together. A minimum downside should combine a 30-day collection delay, a 10% cost increase and 20% lower early volume.

COLLECTION	COST	VOLUME
A customer pays 30 days later than expected.	Direct costs are 10% higher than expected.	Volume is 20% lower in the early months.
<i>The shortfall extends into the next payroll, supplier or tax cycle.</i>	<i>The margin may still be positive while the cash and return are materially weaker.</i>	<i>Fixed costs are carried by a smaller revenue base for longer than planned.</i>

OBSERVATIONS THAT WARRANT A CLOSER LOOK

THE COMBINED DOWNSIDE

Run one scenario in which collection is 30 days later, direct costs are 10% higher and early volume is 20% lower. Then confirm the lowest cash week, the remaining buffer and the action trigger. A plan that only survives the base case is not yet decision-ready.

- Sales rise while the bank balance remains flat.** The sales and cash forecasts are describing different realities.
 - The next customer receipt is required to meet payroll or core suppliers.** The working-capital requirement is structural, not incidental.
 - A profitable order relies on long payment terms.** The customer may be shifting its funding burden onto the supplier.
 - New commitments are not in the forecast until after approval.** The decision is being made without the full cash effect visible.
 - Management cannot identify the maximum cash gap or the week it occurs.** The case is not yet decision-ready.
- The response is commercial: renegotiate a deposit, use milestone billing, stage delivery, phase the commitment, fund it properly or decline. Agree the trigger before the cash buffer is exhausted.



04 DECISION MATERIALS

The materials behind a decision-ready view

For most SMEs, the answer is not a larger finance function or a more elaborate model. It is a compact set of current materials that connects the opportunity to cash, margin, capacity and funding – and is simple enough to update.

MATERIAL	WHAT IT ESTABLISHES	WHEN IT MATTERS
13-week forecast	The current bank position, committed receipts and payments, and the forecast cash low point.	The base case into which the opportunity must fit.
Opportunity cash map	The timing of deposits, stock, labour, delivery, invoicing and collections attributable to the decision.	Where the opportunity has a cash cycle that differs from the existing business.
Margin model	The incremental economics of the opportunity after direct delivery costs and concessions.	Where headline gross margin could obscure a weak commercial return.
Downside case	The effect of slower collections, lower volume or higher direct cost on cash and funding.	Before approving a commitment that is difficult or expensive to reverse.
Funding note	The amount, purpose, duration, responsible owner and contingency for any funding requirement.	Where a cash gap cannot be absorbed from normal operating resources.
Decision record	Records the commercial rationale, cash low point, capacity conditions, funding route, decision owner and review date.	Before approval, and whenever a material assumption or condition changes.

WHAT GOOD LOOKS LIKE

The opportunity is visible in the forecast before the commitment is signed. The margin case, cash low point, downside position and funding structure are available in one view. The assumptions are explicit enough for management to challenge them.

MATCH THE FUNDING TO THE USE

Customer deposits and milestone billings can fund order-specific work. Working-capital facilities or invoice finance may suit short collection gaps. Asset or term finance better matches long-life equipment. Owner capital or equity is more appropriate where timing and repayment are uncertain. The cheapest facility is not the right facility if its repayment profile creates the next cash crisis.



05 THE MANAGEMENT ROUTINE

Build, update, decide

The value of a forecast is not precision for its own sake. It is the quality and timing of the decisions it supports. A regular review turns a financial model into a practical operating discipline.

BEFORE THE COMMITMENT

- Establish the minimum cash reserve.
- Map inflows and outflows by expected payment date.
- Confirm the commercial terms, funding route and decision owner.

IN THE WEEKLY REVIEW

- Replace estimates with actual receipts and payments.
- Reconfirm material collections and supplier commitments.
- Refresh the cash low point and the downside case.

WHEN ASSUMPTIONS MOVE

- Identify the assumption that moved and quantify the effect.
- Consider commercial, timing or funding alternatives.
- Record the decision, owner and next review date.

THE REVIEW CONVERSATION

A useful management review is not long. It focuses on the forecast low point, the assumptions that drive it, the downside position and the one or two actions available before the next decision date.

The relevant question is not whether the original plan was perfect. It is whether the business understands what has changed and is responding while the available options are still open.

Regular review does not remove uncertainty. It prevents uncertainty from becoming a surprise in the bank account.

POST-COMMITMENT REVIEW

At 30, 60 and 90 days, compare actual cash usage, contribution, collection timing and capacity impact with the approved case. Escalate when the cash buffer, margin or service condition is breached. Growth should remain subject to review after approval; signing the commitment does not end the decision process.

06 CONCLUSION AND RELATED READING

The decision is not simply whether to grow

Growth may be worth accepting, renegotiating, staging, deferring or declining. None of those outcomes is a failure of ambition. The financially sound outcome is the one the business can carry without weakening cash, service or the established operation.

THE BOTTOM LINE

More sales are only good growth when the business has the margin, cash and capacity to deliver them. When management can see the maximum cash gap, the week it occurs, the downside position and the funding requirement, the commercial decision becomes more deliberate and more negotiable.

RELATED READING

PROFITABLE BUT NO MONEY IN THE BANK

Why profit does not always become cash, and where the gap usually starts.

THE 13-WEEK CASH FLOW FORECAST EVERY SME SHOULD RUN

The weekly operating forecast that makes the cash low point visible.

GROWTH DECISION RECORD

Use the one-page record in this report to document the decision, cash gap and conditions.

KEY EXTERNAL SOURCES

South African Reserve Bank, Statement of the Monetary Policy Committee, 23 July 2026. | Absa, Financial indices and rates, current prime and repo rates. | National Treasury, Third Quarter Report on payment of supplier invoices, 2025/26 financial year. | SARS, VAT 404 Guide for Vendors, invoice-basis accounting. | Neil C. Churchill and John Mullins, "How Fast Can Your Company Afford to Grow?", Harvard Business Review, May 2001.



07 GROWTH DECISION RECORD

A one-page management record

Use this page to document the commercial rationale, margin, cash effect, capacity conditions, funding route and risk position of a material growth decision. It is a structured management record rather than a checklist.

OPPORTUNITY	DECISION SPONSOR	DATE REVIEWED	DECISION DATE
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COMMERCIAL RATIONALE

What makes this opportunity strategically or commercially worthwhile?

MARGIN CASE

What is the incremental contribution after all delivery costs and concessions?

CASH EFFECT

What is the maximum cash gap and in which week does it occur?

DOWNSIDE POSITION

What changes if collection is later, volume is lower, costs increase or operating capacity fails?

FUNDING STRUCTURE

How will the cash requirement be funded, repaid and monitored against the approved case?

DECISION AND CONDITIONS

Proceed, negotiate, stage, defer or decline - with conditions, owners, review dates and escalation triggers.

Use this record to capture the real trade-offs considered, not merely to confirm a decision already taken.